

MARKETPLACES UNLEASHED

FUELLING INDIA'S \$200B CONSUMER
SPENDING SURGE

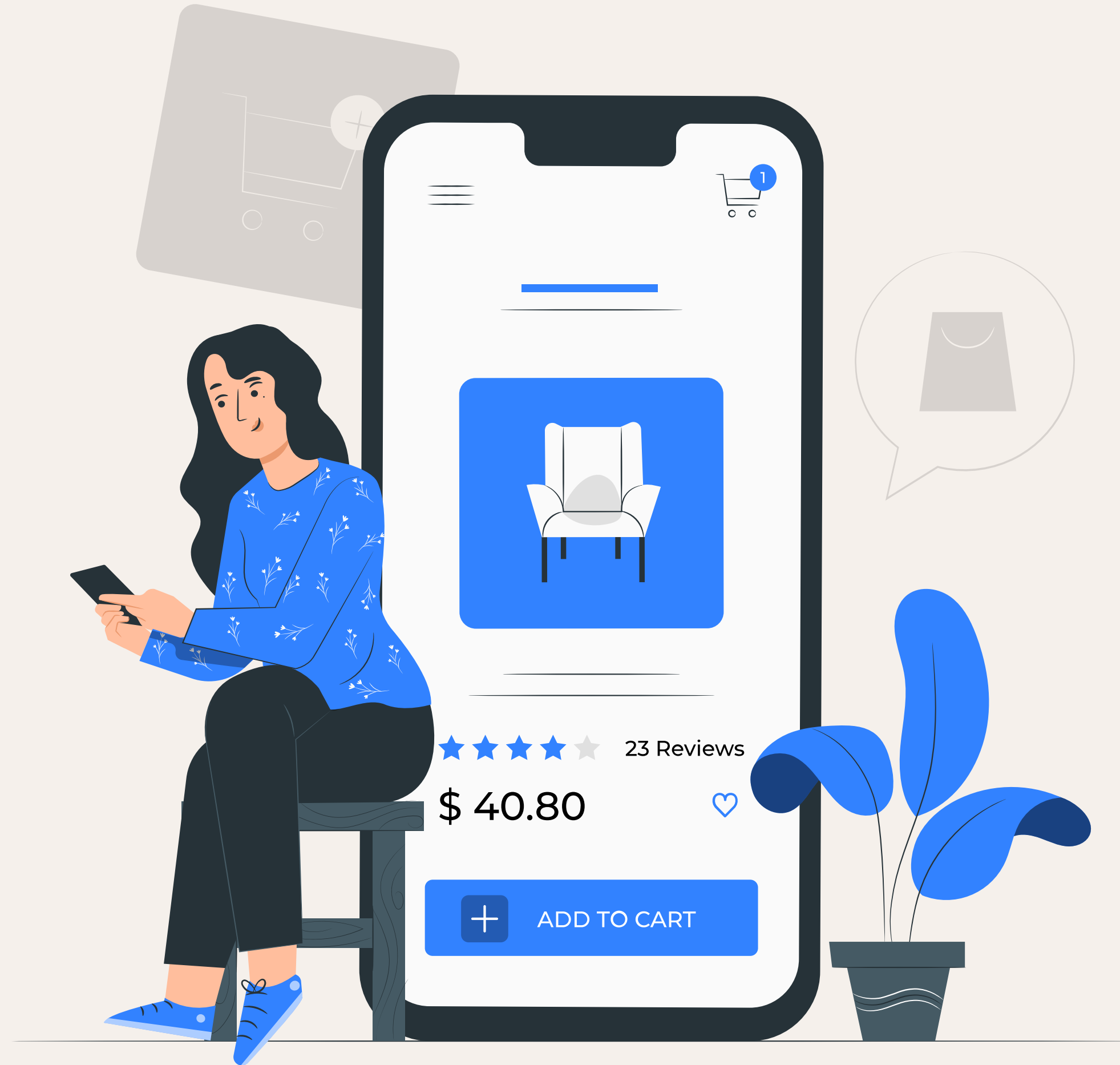
Sept 2023



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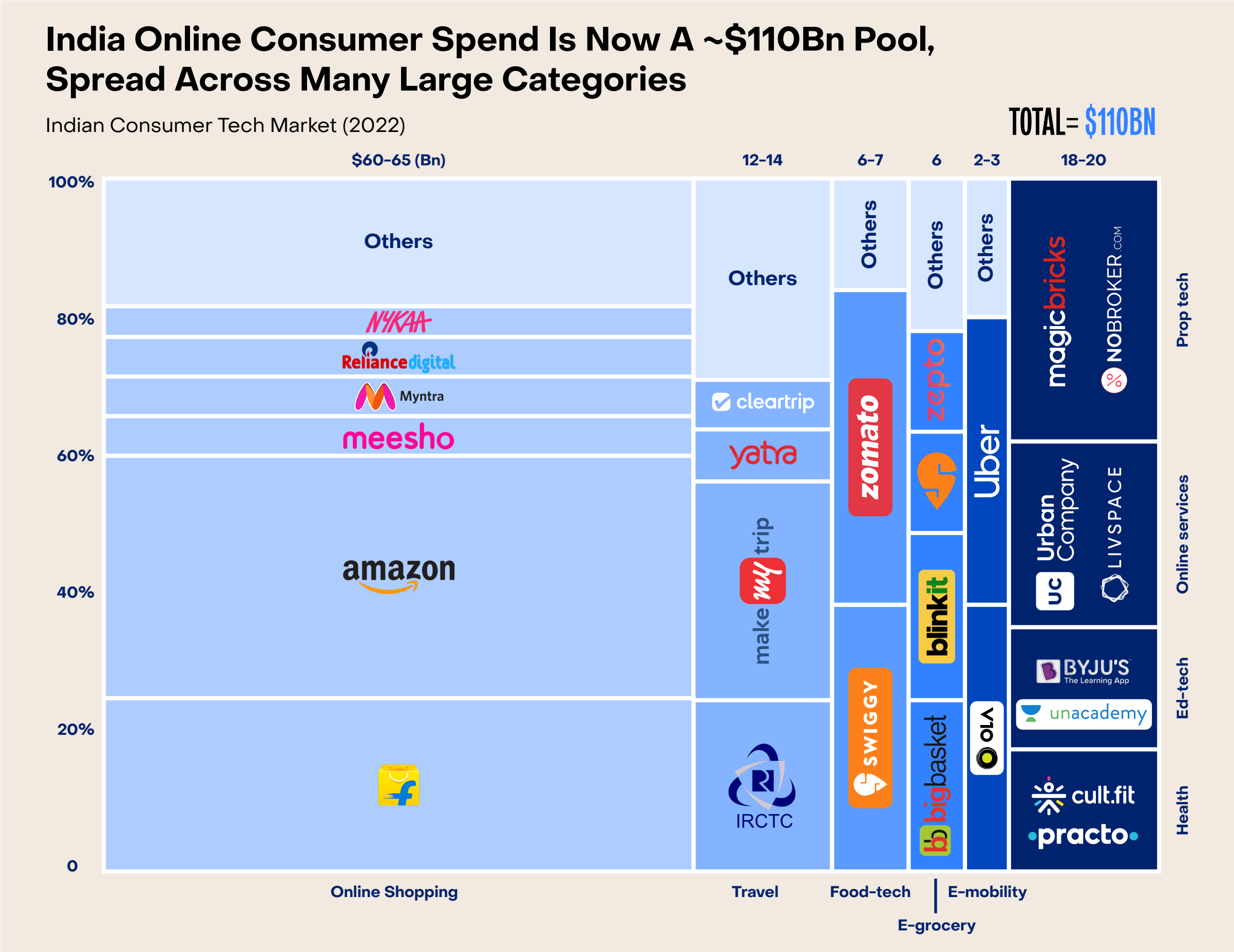


OVERVIEW



At Elevation Capital, we’re deeply passionate about consumer marketplaces as a theme and have had a history of being involved in the various evolutions that the space has undergone in India. From the early Web 1.0 days of listings-based plays such as Justdial to adapted-for-India plays like MakeMytrip, then Hyperlocal/For Bharat plays such as Swiggy, Meesho, and Urban Company, and to today’s vertical marketplaces like Nobroker and Spinny, we’ve been lucky to have had caught these trends at the right time, and witness India’s online consumer aspirations unfold.

As the Consumer Tech team, we began reflecting on where marketplaces in India have reached, and this piece is an attempt to share our framework that builders can use as they create category-defining platforms that shape the next decade of e-commerce.

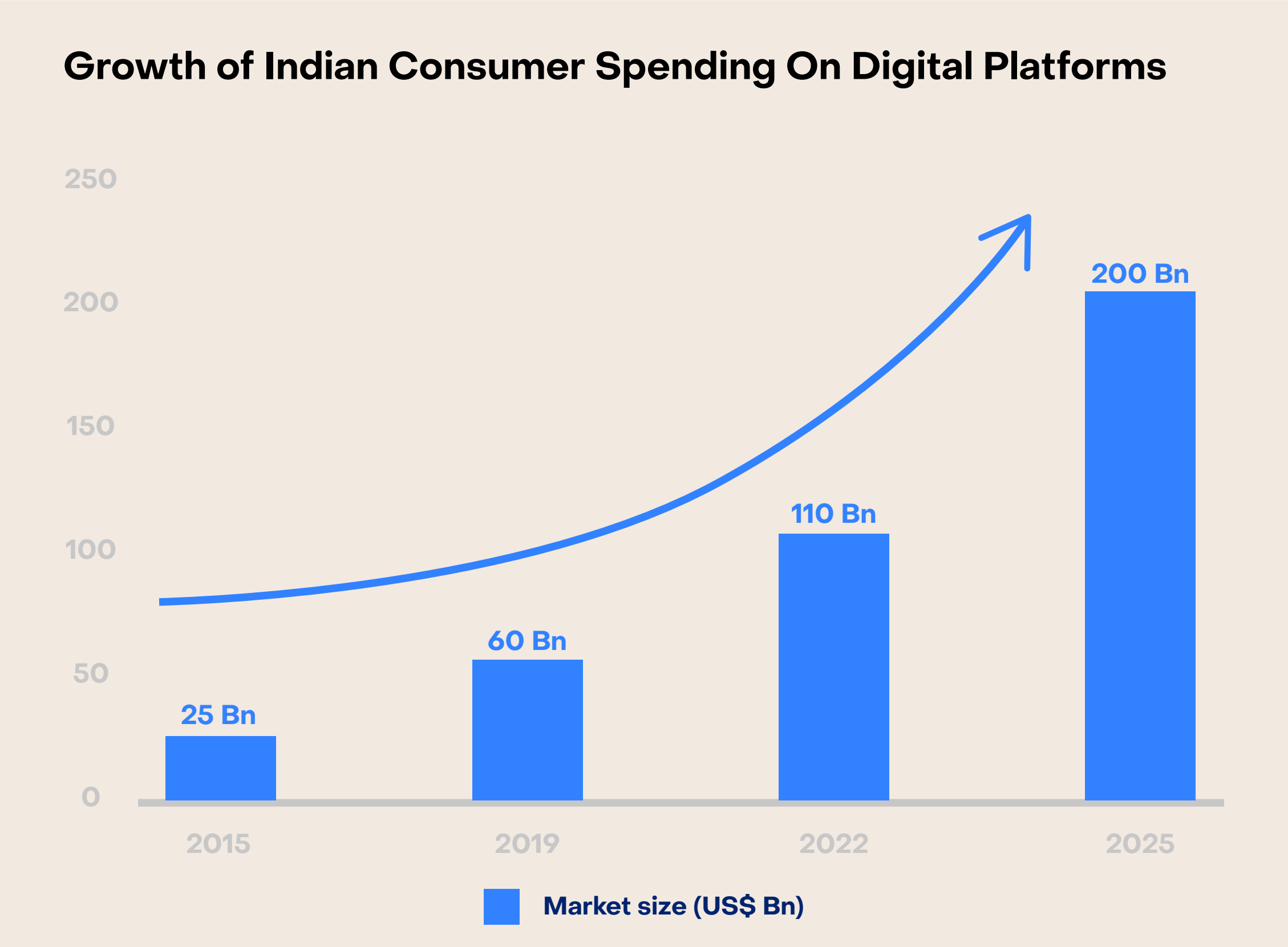




As you are reading the article in 2023, online consumer spend in India is at \$110 billion. In the chart above, you see how it is split across various categories, and two things stand out:

- Marketplaces capture the major share of the revenue pool; upward of 80% of the spends is directed through marketplaces
- Some interesting players like Reliance Digital, IRCTC, and Dominos take up important space, in addition to new-age marketplaces

We estimate that online consumer spend will double over the next three years, reaching a level of \$200 billion, and will only continue to grow as India marches towards \$5000 per capita GDP by the end of this decade.



Source: Elevation Capital

THE PROPELLERS: UNVEILING THE DRIVERS OF INDIA'S ONLINE SPENDING SURGE



Consumer expenditure patterns evolve as the broader economy expands.

Every country exhibits distinct consumer expenditure patterns linked to the respective nation's stage of economic development. As a population's average income rises, it becomes evident that the share of spending dedicated to discretionary items too goes up. On the flip side, the expenditure share allocated towards essential commodities subsequently diminishes. To illustrate, households with incomes less than \$750 annually tend to allocate approximately 50% of their budget to essentials, which significantly decreases to around 30% when incomes surpass the \$2,000 threshold, and contracts further to as low as 20% when the income level exceeds \$10,000.

India, currently a \$2500 per capita GDP nation and the fastest-growing major economy, finds itself at a fascinating crossroads. Discretionary spending within the country is picking up speed, and we feel that certain sectors stand to benefit substantially from this shifting expenditure pattern. As per CLSA's prediction, the

proportion of discretionary spending in India could potentially surge to a staggering 71% by 2030. This interesting correlation between expenditure trends and per capita GDP growth has been highlighted in an analysis by CLSA.

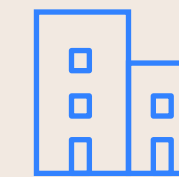
An increase in discretionary spending leads to channel organization.

Consumers tend to spend more in organized markets when it comes to discretionary spends. This naturally stems from the ease of access and information and standardization of systems that organized players tend to offer. Consumers tend to pay a premium for this convenience, and we can very well notice these trends play out with the incumbent marketplaces. The next generation of companies and marketplaces targeting these niche segments of consumer interest will spearhead this change further.

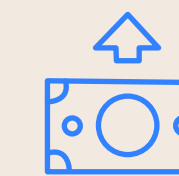
Other micro drivers that will play out by the end of the decade



Share of working class in Indian population:
68% in 2023



Urbanization:
35% in 2021 to 40% in 2030



Income gap between rural and urban centers:
1.8x in 2021 to 1.4x in 2030



Affluent households (>US\$10,000 annual income):
26% in 2021 to 53% in 2031

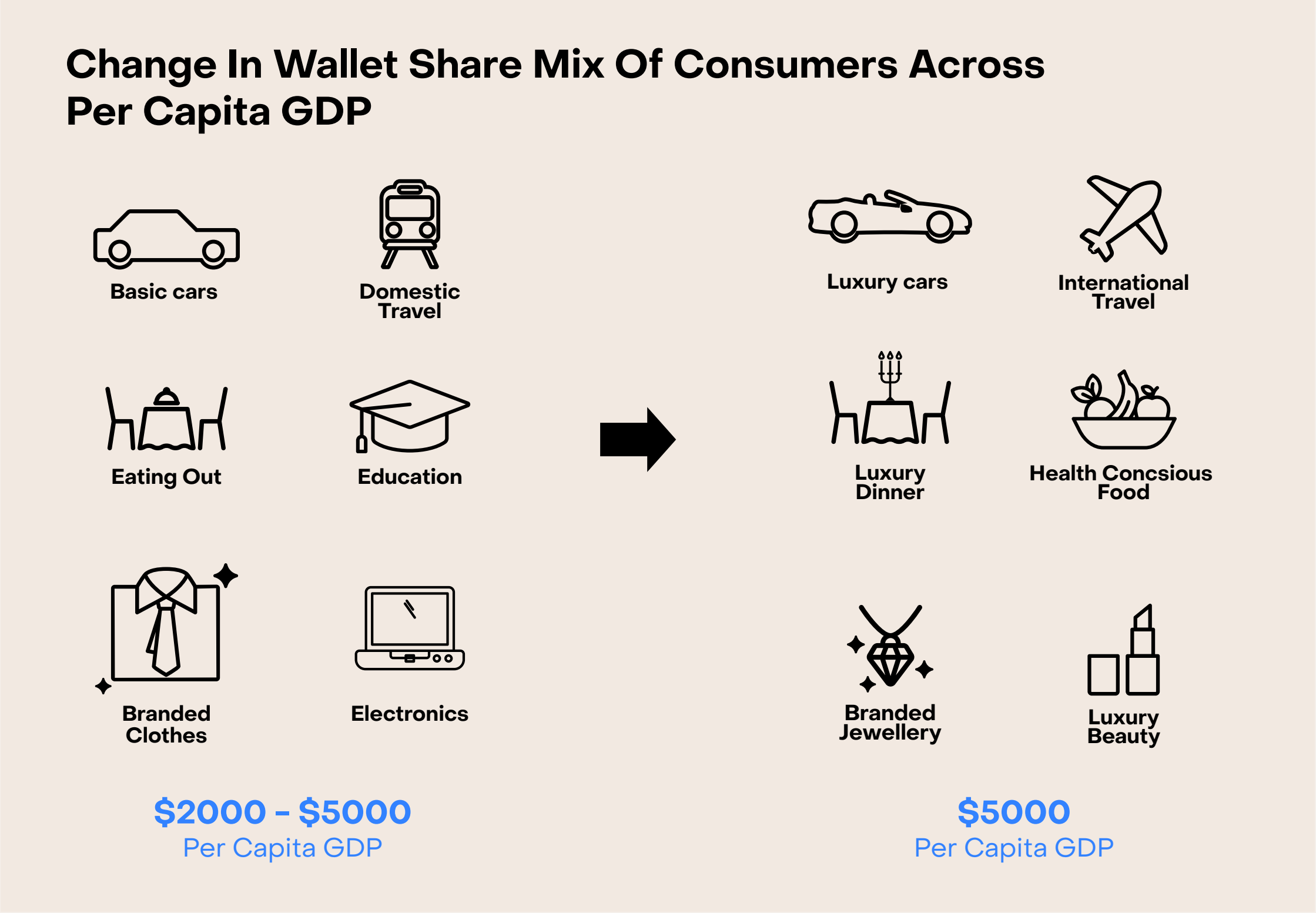


Internet penetration:
47% in 2021 to 65% in 2031

Source: Morgan Stanley Research



The progression seen in those factors only plays in favor of shifting the consumption spends upwards. Zooming out again, these factors give rise to the changing themes of consumption as certain categories are set to grow at much faster rates than others. As the country hit the per capita GDP mark of \$2000 in 2018, we noticed the transition towards a more “affluent” lifestyle marked by a gradual increase in expenses towards electronics, branded apparel, and personal care. By 2030, the transition would have taken a more concrete shape, with a focus indexed towards health, luxury dining and cars, and jewelry. We would recommend you read this article by ET Retail¹ to learn more about the income and expenditure patterns in India.



Source: CLSA

THE PLATFORM PROWESS: HOW MARKETPLACES HOLD THE KEY TO CAPTURING EXPONENTIAL VALUE



Over the past decade in India, marketplaces have redefined standards in industries and reshaped the way consumers purchase online – with companies like Amazon, Meesho, Swiggy, Urban Company, Spinny, NoBroker, and MakeMyTrip becoming fairly synonymous with their respective domains. This brings the question, how are marketplaces able to capture such disproportionate value? At the most fundamental level, marketplaces are platforms that connect the two sides of demand and supply in one space. While the nuances of each would be different, we can distill the reasons behind this business model's transformative ability as follows:

Consolidation and Removing Asymmetry of Information.

The growth of any industry invariably attracts a surge of new entrants, each vying to carve out their niche and differentiate themselves from the competition. And as the size grows, so too does the noise in the space, and the customers feel the brunt of not being able to discover and

compare these unique products. Marketplaces emerge as influential players in this equation that consolidate the supply, establish normative benchmarks, and thus provide more favorable market consolidations.

Lean inventory helps rapid scale-up.

Most marketplaces initially start out by generating access between the existing players in the industry. With trust and standards being the core proposition they offer, these fixed components help the marketplaces scale up across the breadth of offerings and demand pools at ease.

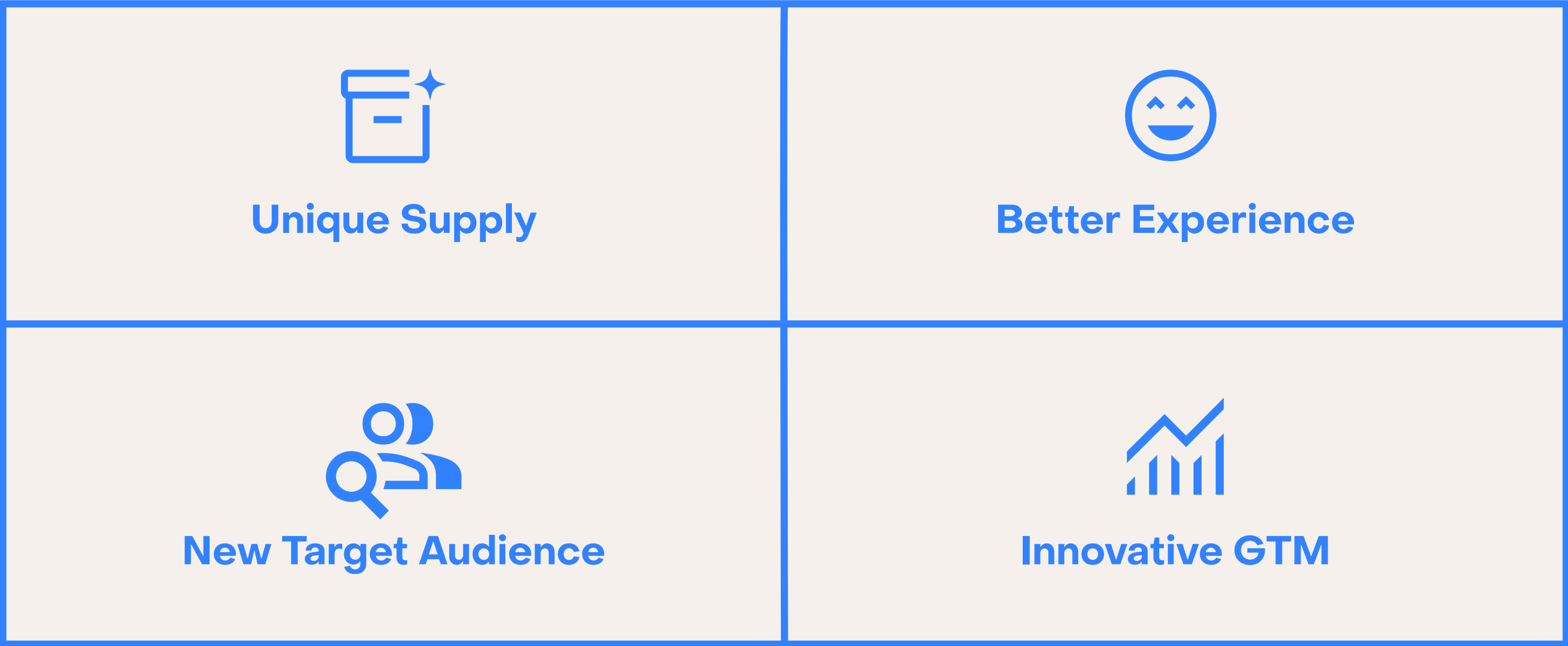
Negative working capital cycles.

Marketplaces that operate without the burden of inventory often benefit from lean cycles of capital flows. They serve as the hub for transactional cash collection, allowing them to accumulate surplus funds in their bank accounts. This surplus cash becomes readily available to support and sustain their ongoing operations. This is a key differentiator

for marketplaces and has proven to be the foundation pillar for many large incumbents like Amazon, that although it ran into losses in its initial days, had sufficient liquidity in the system. HBR Review² has written an excellent article on this, and we will recommend you read that for more insights.

OUR MARKETPLACE FRAMEWORK: NEW MARKETPLACES WILL GET CREATED ON THE FOLLOWING AXES

Given the context on the current state of marketplaces and the positive outlook one can hold for the decade to come, below we capture our framework to build strong platforms, which centers on four key pillars - Unique Supply, New Target Audience, Better Experience and Innovative GTM.





HARNESSING UNIQUE SUPPLY AND NEW AUDIENCES

In February 2023, Wall Street observers opened their dailies to a remarkable announcement:

"Airbnb posts a record \$1.9 billion in profits." Scrolling back 15 years to 2008, Brian Chesky embarked on a remarkable journey that would forever change the landscape of the accommodation industry and marketplaces as we understand them today.

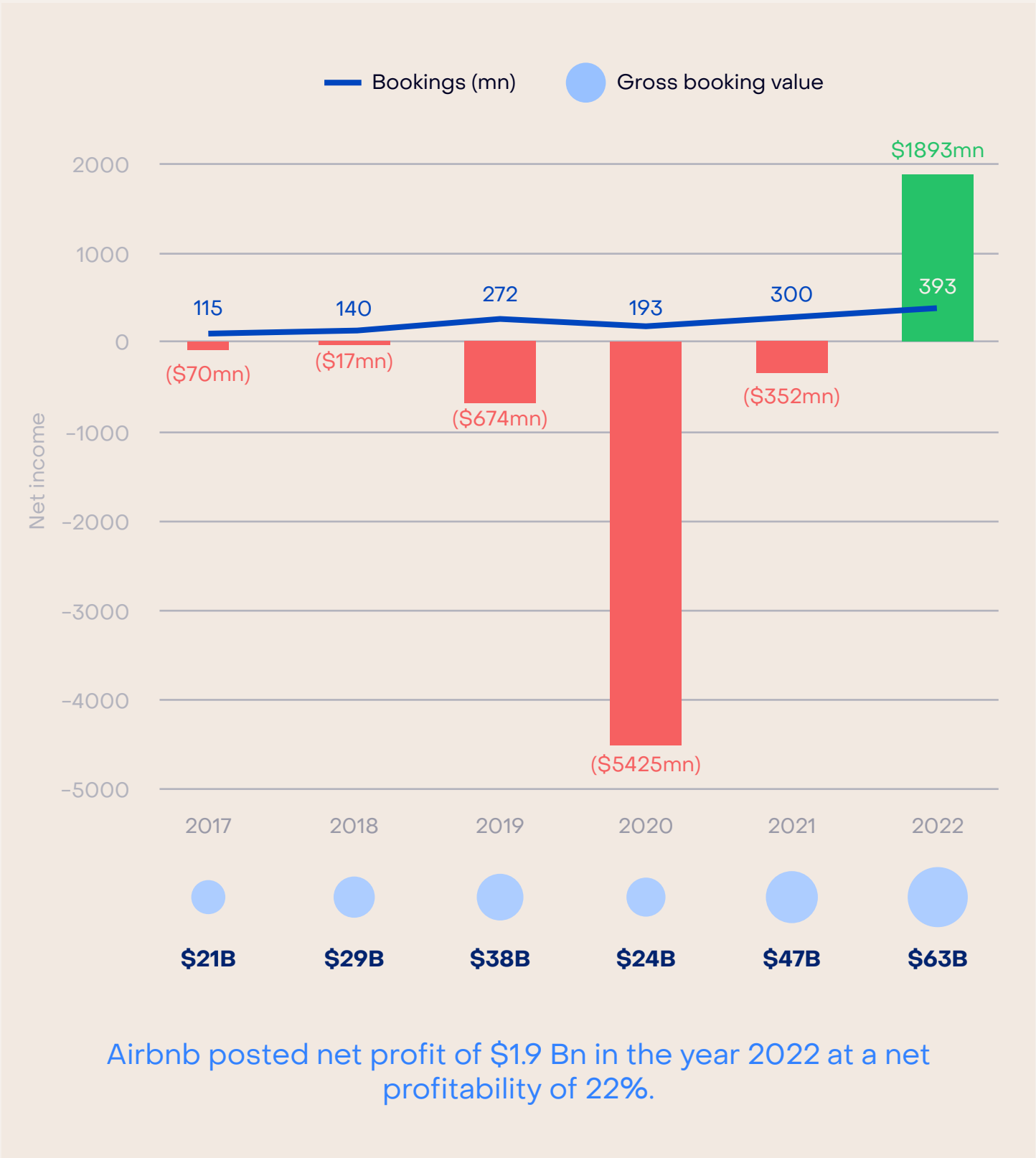
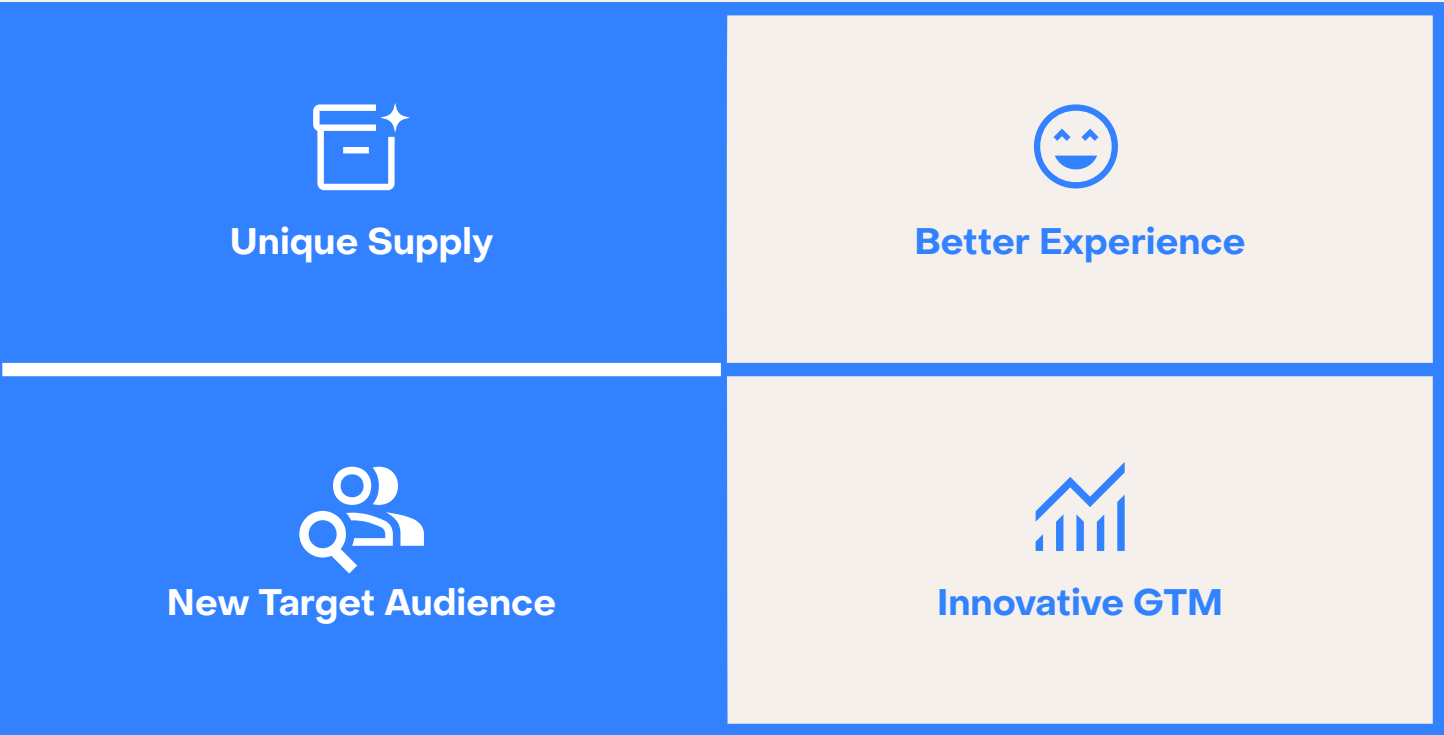
It all began with a simple idea: subletting his third bedroom to a handful of conference attendees, a creative solution to offset his exorbitant monthly rent of \$1,150 in San Francisco. His friend and now co-founder, Joe, had three air mattresses that they could share while Brian arranged for breakfasts. Thus, 'Air Bed and Breakfast' or Airbnb was born.

AIRBNB: Allows people to sublet their homes to temporary residents

A simple yet unique solution, Airbnb addressed a genuine need that consumers couldn't access at scale before. By allowing individuals to rent out their spare rooms,

apartments, or even entire homes, Airbnb created a vast supply of unique and varied options for travelers. Airbnb's offerings in various geographies encompassed a wide spectrum of prices, ranging from modest rooms with basic amenities to luxurious private villas situated near scenic destinations. This unprecedented range of options revolutionized travel, making it accessible to leisure backpackers and even destination hunters – target groups not catered to by the incumbents.

Airbnb's success can be attributed to the convergence of unique supply and the identification of new target groups (TGs), the first two elements of the foundational axes of our framework.



Source: Airbnb

MARKETPLACES WITH UNIQUE SUPPLY UNLOCKS HAVE CREATED LARGE OUTCOMES



To have a unique supply is to house products or services on the marketplace that other platforms do not have access to yet. Think AliExpress opening up the availability of products manufactured in China in the early 2010s or OLX giving access to a wide library of pre-used products that were earlier not discoverable. These are a few classic examples of marketplaces being built on unique supply as an axis.

Gaining a thorough understanding of consumers' needs and pain points from the ground up often serves as a valuable indicator for identifying such opportunities. Unique supply can serve as a powerful differentiating factor, enabling companies to enter the market with a solid advantage over established players. However, we have also observed cases where companies have strategically leveraged this element during their journey to strengthen their existing pipeline of offerings.

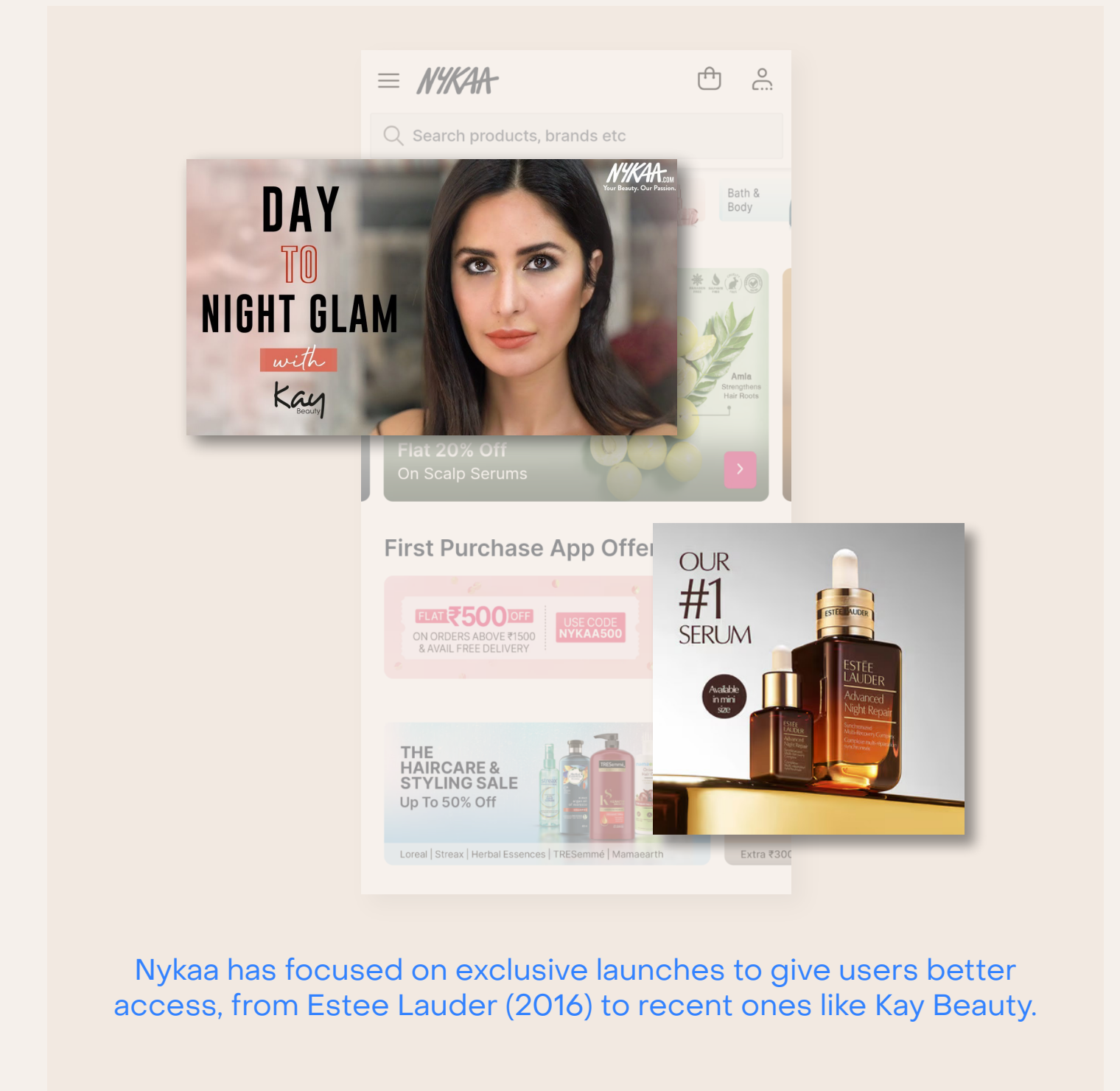
Closer to home, we can see this play out in detail in two companies that have become fairly synonymous with their respective categories – Nykaa and Urban Company.

Nykaa: Making Imported Cosmetics Available In India And Eventually Becoming A Destination For Beauty

The Indian beauty landscape was at an inflection point in 2013. Falguni Nayar was wanting to return home from London and start a company of her own and be a part of a legacy after having taken multiple companies public as an Investment Banker at Kotak Mahindra. After vying over multiple ideas, she identified an opportunity in the category of beauty. According to Falguni Nayar, beauty for Indian women meant only two products: red lipstick and black kajal. The vast majority of the consumers were unexposed to products outside of these basics, and there was a lack of awareness to the swathe of products that was available to her in London. A growing generation of internet-first audiences wanted to get their hands on these products but could not purchase from the incumbent horizontals, for they were laden with counterfeit products.

She realized that if she could introduce Indian women to

this new realm of beauty and educate them on their use cases, it would unlock a successful venture. Thus, Nykaa was born.

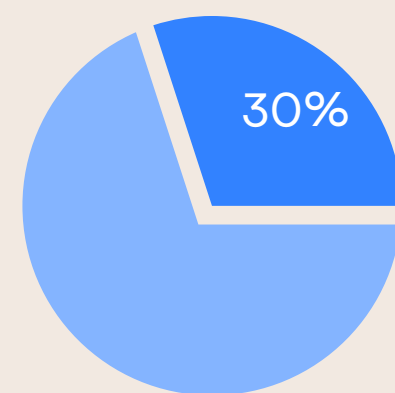


Nykaa has focused on exclusive launches to give users better access, from Estee Lauder (2016) to recent ones like Kay Beauty.



Over countless iterations, Nykaa perfected its value propositions for customers, and curation was its silver bullet. Nykaa partnered with international brands like Estée Lauder that had not set foot in India yet through Amazon and Flipkart in an inventory-led model. This operating model allowed Nykaa to establish initial trust with the brands since it bore the risk of the inventory and trust with the customers who now have access to these brands and know that the products shipped are legitimate. This created differentiation in its early days and is an approach Nykaa has kept alive even to this day by launching new brands, such as Kay Beauty, exclusively on its platform – taking it to the 30% market share it holds today within the space..

Nykaa has **30% market share** within India Online BPC Market (2022)



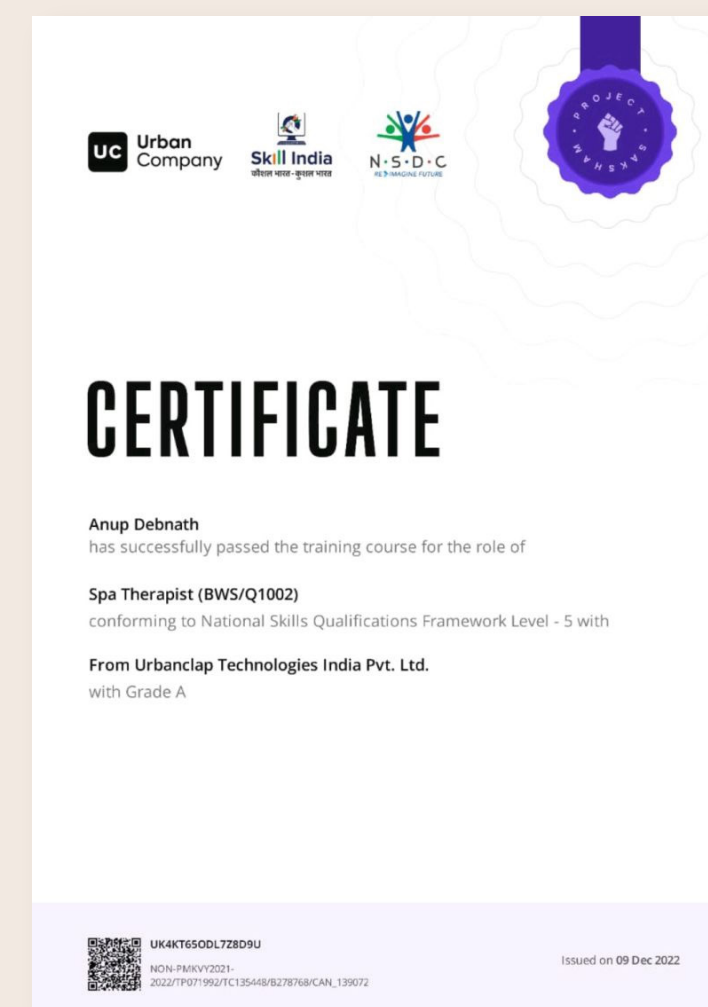
Urban Company: Creating high quality professionals through in-house training and increasing their incomes

At Elevation Capital, we have been fortunate to witness the birth of this unicorn and followed its journey from the ringside since its inception. Local services have always been a large opportunity with mediocre customer experience and, therefore, in dire need of a platform such as Urban Company. Global equivalents have largely addressed this issue as a classifieds model, but there is a catch – there was a natural limit to the number of service professionals that one could bring to the platform in a particular geography. This can either be through access constraints or due to the lack of talent.

To keep their growth going and make supply ever stronger, Urban Company had invested in the training of new service professionals, bringing alive a supply that did not previously exist. This turned out to be a win-win proposition, as these professionals in their previous avatar had largely gotten meager wages of Rs 10,000 a month

and could now be a part of an organized community of service professionals, earning in multiples of the earlier values.

We have covered the complete journey of our partnership with Urban Company on this page³.

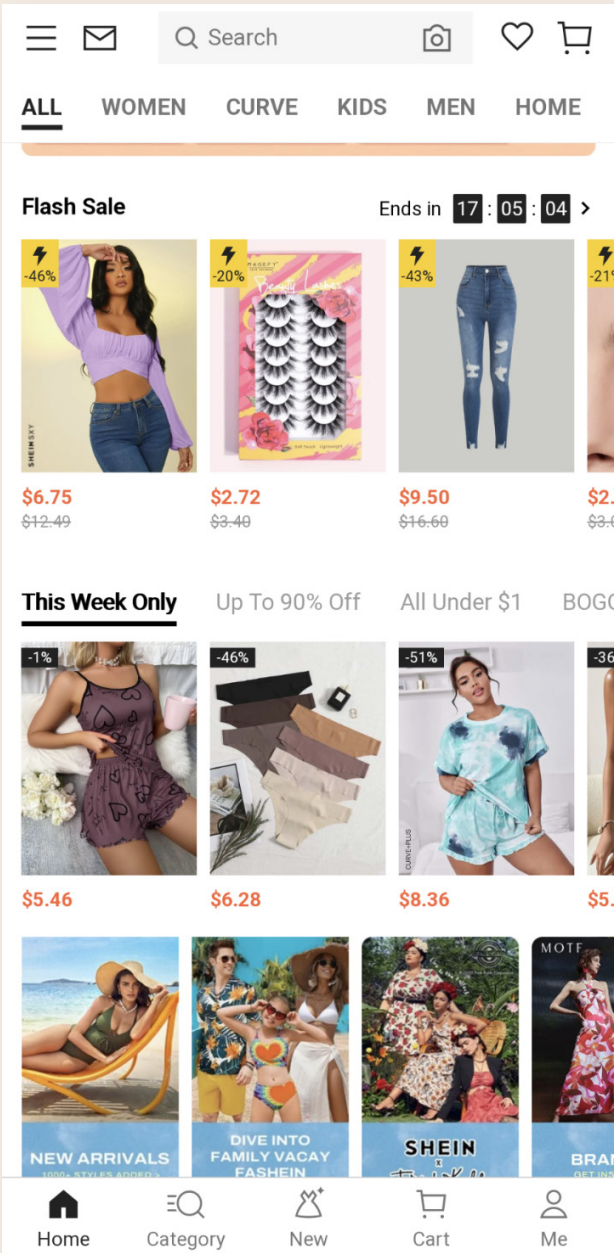
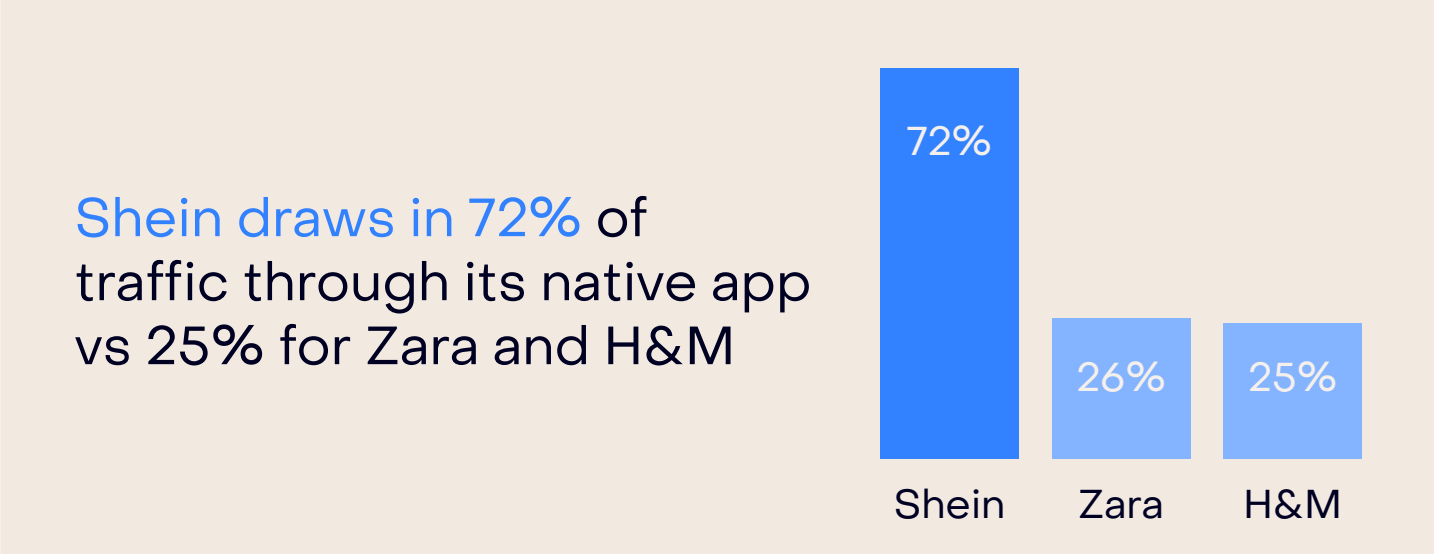


By taking care of training for a first-time home services workforce, Urban Company broadened the market.



SHEIN: Building A Gen-z Platform

Multiple marketplaces have tapped into a new target audience that previously seemed underserved by incumbents. Their interest could be better addressed by building differentiated supply, product features, and experience that is geared towards the core behavior of this audience. In this section, we will dive deeper into the marketplace that dethroned Amazon as the most downloaded shopping app in the United States – Shein. Building around the apparel shopping needs of Gen-Z, Shein innovated across pillars of supply as well as user experience to rise to prominence in the US market.



Shein built around Gen-Z with a focus on quickly changing trends and better discovery— combining daily fresh drops with an app-based experience.

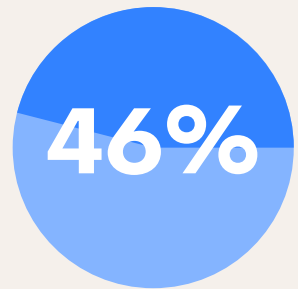
They added 45x more SKUs vs Zara; and 70x more SKUs vs H&M during the same period in 2022.

Shein started out in China as a destination that sold wedding dresses in 2008. But the company found little success and pivoted multiple times in 5 years – from trying their hands on jewelry, shoes, and even cosmetics. Over these iterations, they noticed a constant demand pattern from one target group – women in their early 20s. Singularly narrowing down on this segment, they realized they were sitting on a massive opportunity that was not addressed clearly by the likes of offline and online retailers.

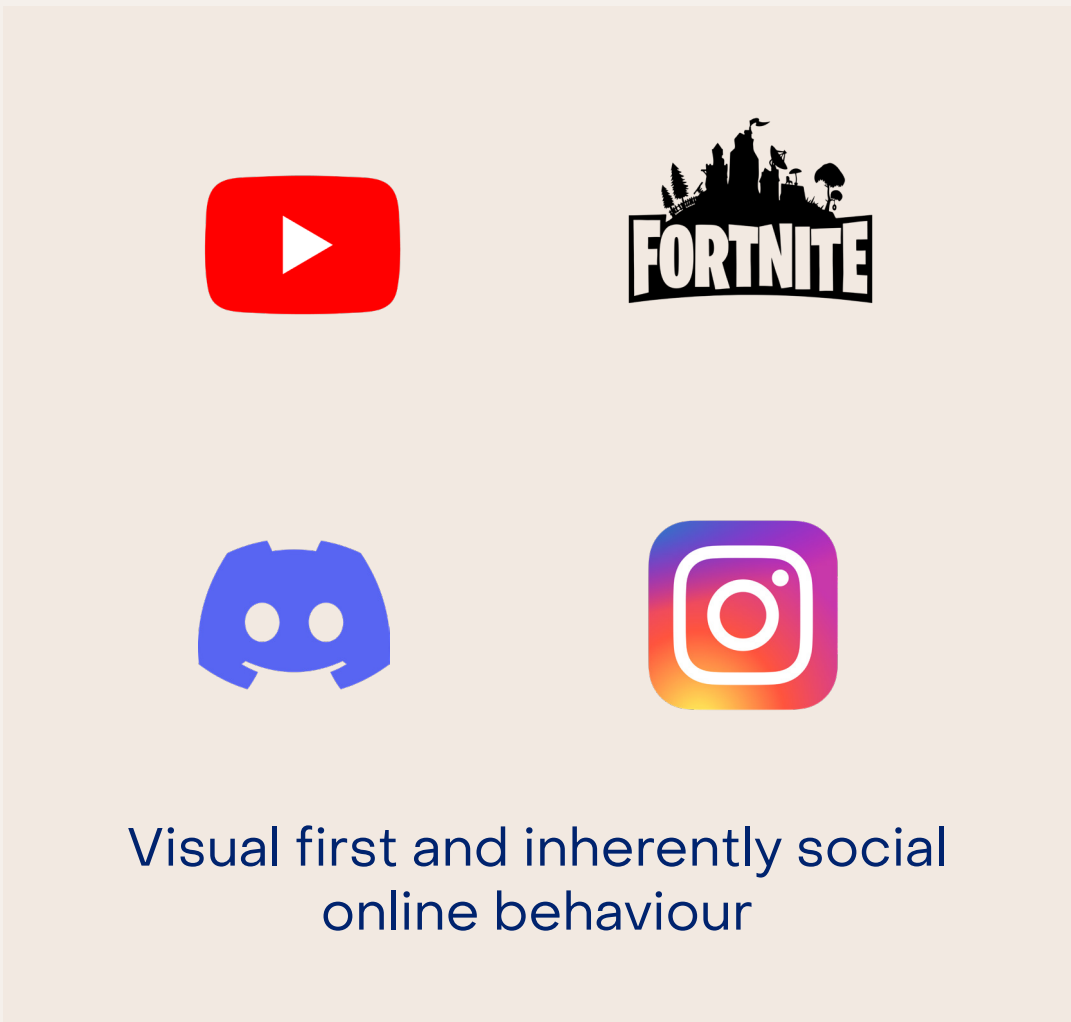


Gen-Z's behaviour to shape the future of marketplace experiences

Gen-Z characteristics:

-  46% Contribution of Gen-Z + Gen Alpha to India's population by 2030.
-  8 hrs 8 hours of daily average time spent online vs all-India average of 5 hours.
-  8 sec Average attention span of 8 seconds.
-  More affluent and better educated—likely to spend more on retail and entertainment vs. previous generations.
-  Unlikely to sacrifice present consumption for the future.

Most commonly used apps:

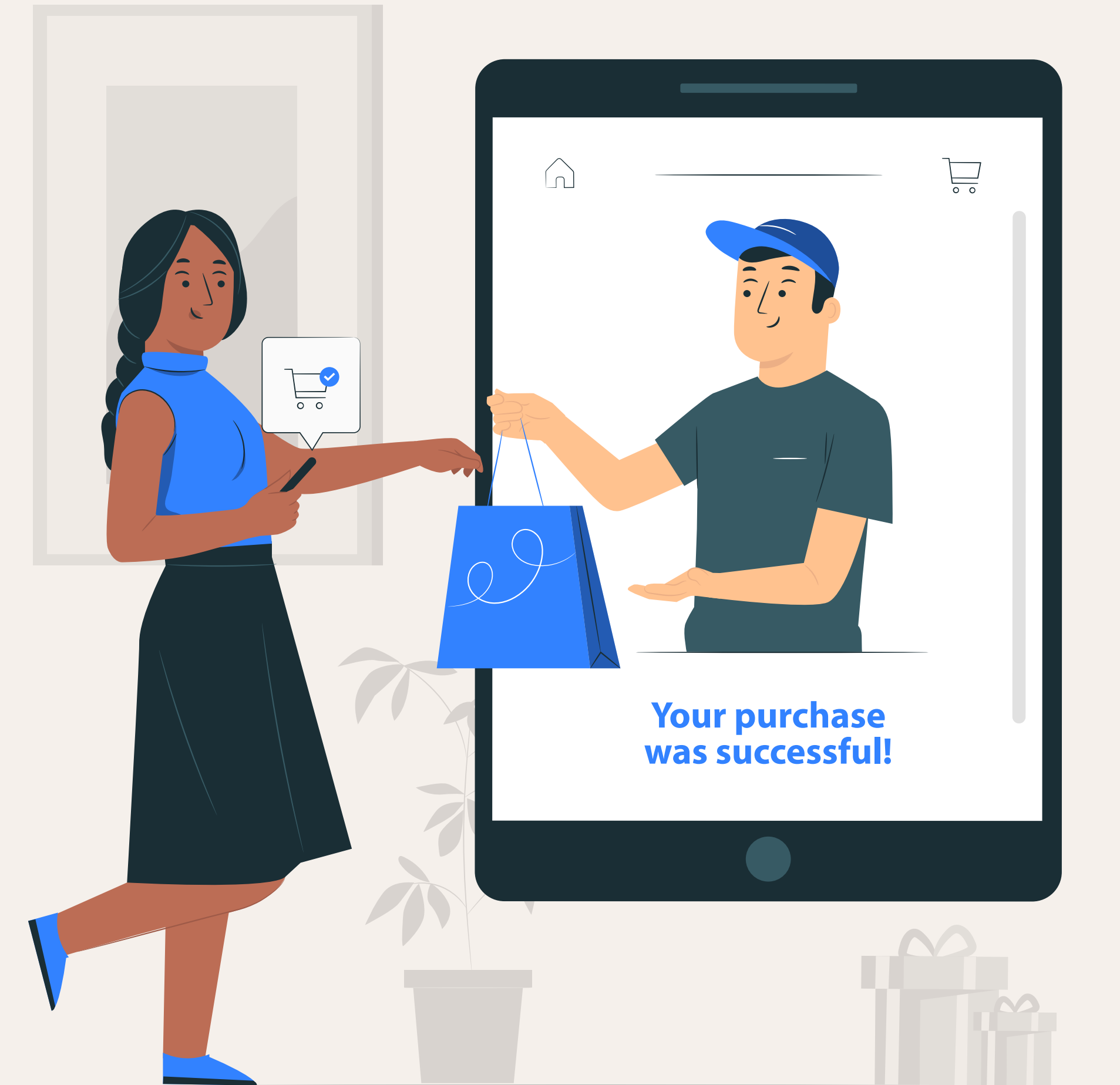


-  More value driven and try to find deeper meaning in their actions as consumers.
-  Strong drive to buy new things and try new experiences.

Firstly, this segment wanted newer choices on a frequent basis, and the choice of purchase was largely inspired by pop culture. The user retention stats on glances was a clear indicator for the team to narrow down this axis. Further, these young shoppers wanted products that are pocket friendly and did not mind swapping out clothes often.

Armed with these insights, Shein invested in creating an ultra-fast supply chain that can turn from design to production in just 3 to 7 days – hinged on a system that can predict the future trends in fashion and churn at a velocity of over 45 times what Zara is able to release.

Understanding where their audience spent time largely, Shein used Instagram and Tiktok based influencers and incentivized the customers with discount codes on their already cheaper offering. In fact, Shein was among the first retailers to use Instagram influencers for marketing from as early as 2011. Their Tiktok strategy went viral during the Covid-19 lockdowns, positioning Shein as the de facto market leader in fast fashion – with their sales rising by triple digits.

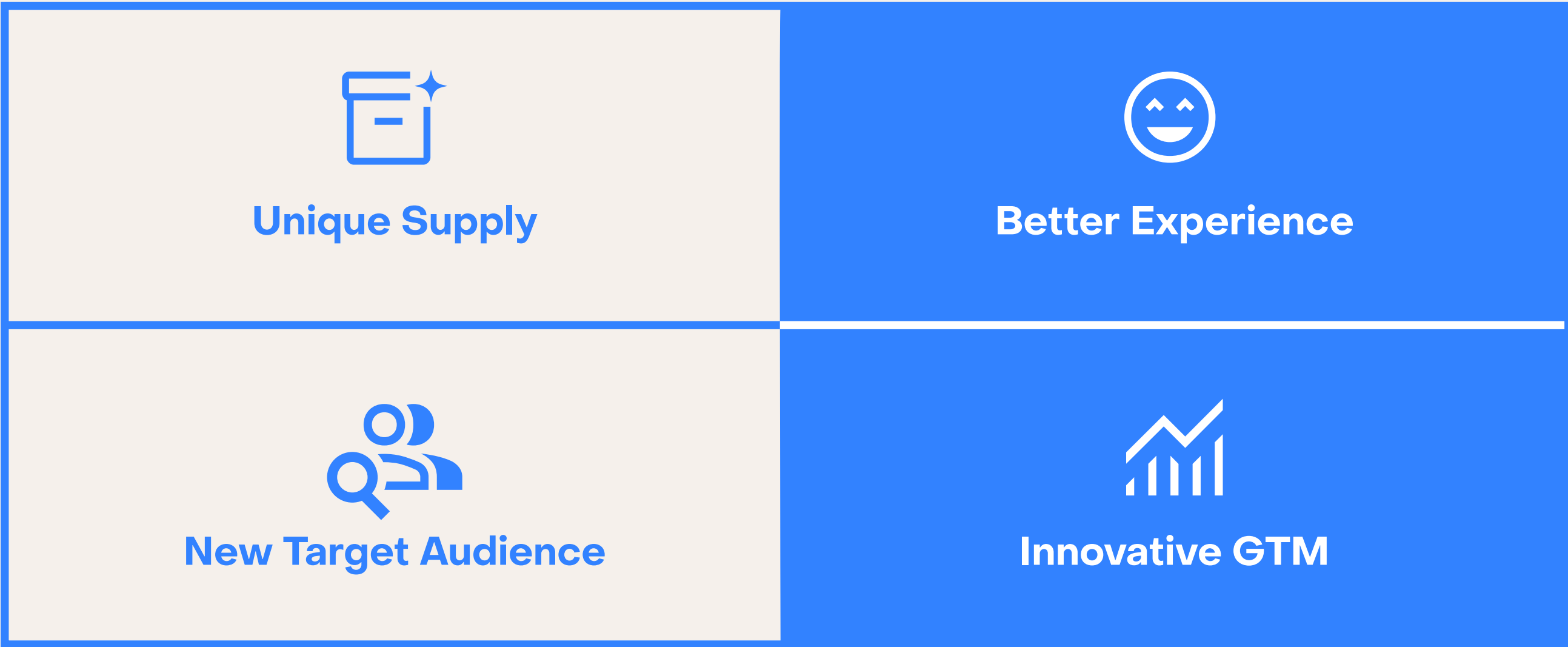


HARNESSING BETTER EXPERIENCE AND INNOVATIVE GTM



DoorDash, founded by four Stanford students in 2013 as a local delivery service in Palo Alto, is now the dominant player in the US on-demand food delivery market with a 65% share, up from just 18% in 2018. DoorDash's success can be attributed to its strategic choice to focus on suburban markets and smaller metropolitan areas since its founding. While existing platforms served urban areas, DoorDash targeted an audience who were underserved by incumbents. Additionally, in its early days, the platform differentiated itself by delivering from restaurants that did not have their own delivery services, essentially unlocking a unique supply for customers.

We now turn our attention to the remaining two pillars of our framework. While we cannot overstate the power of unique supply and a new target audience, the success of a marketplace in today's hyper-competitive landscape often hinges on its ability to provide a superior experience than its competitors or traditional models and the innovation it brings to its GTM strategy.



Our marketplace framework: New marketplaces will get created on the following axes

CRAFTING A SUPERIOR EXPERIENCE LEADS TO CLUTTER-BREAKING PLAYS IN TRADITIONALLY CONTESTED CATEGORIES



More recently, multiple fast-growing marketplaces have played on better experience as the primary lever to drive user delight and flow of commerce, pulling value away from their legacy counterparts.

WhatNot: Make collectibles auctions more gamified

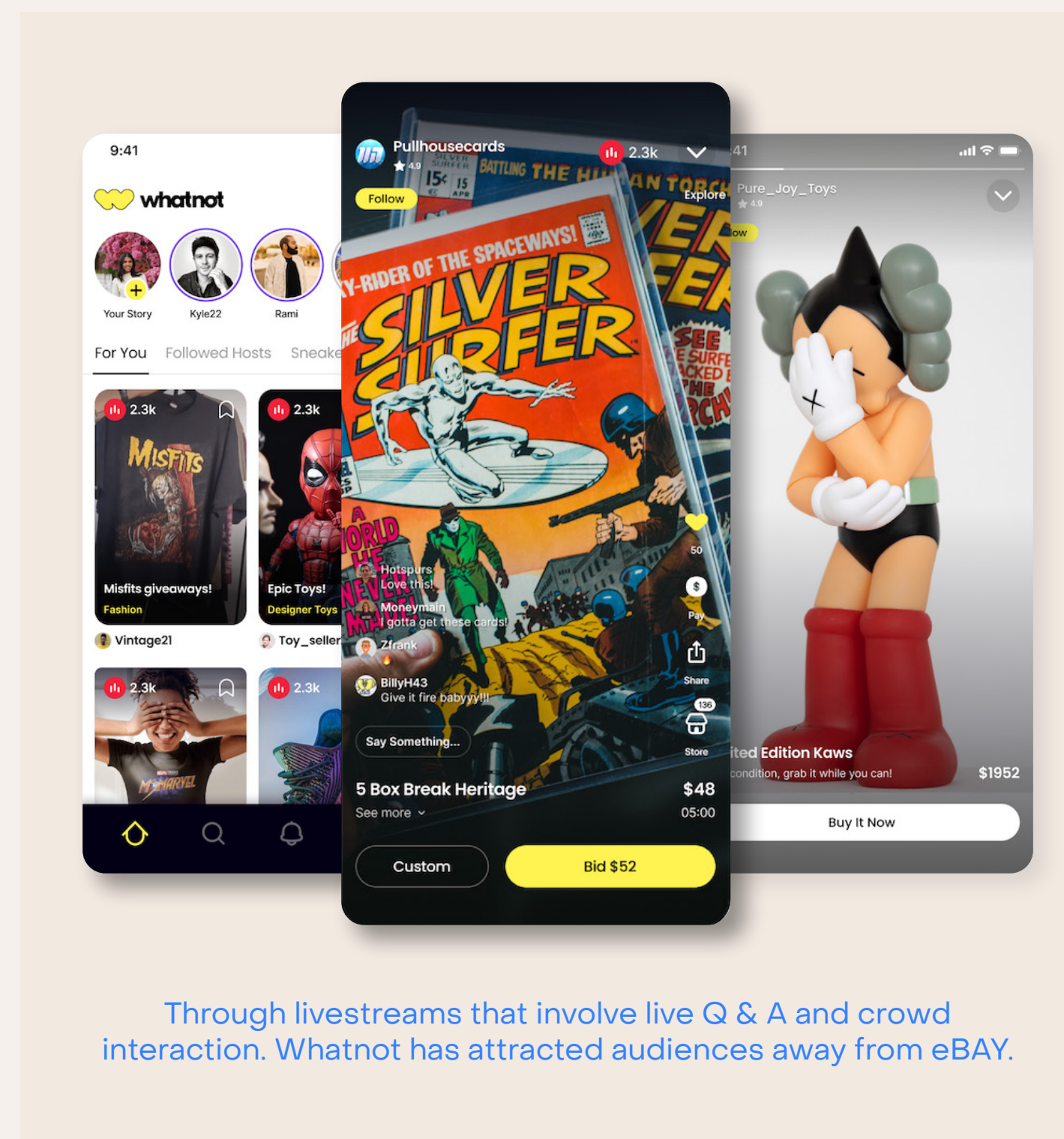
WhatNot (founded in 2019) in the US is a marketplace built for a strong community of collectors and hobbyists who trade in sports cards, Pokémon collectibles, Funko Pop! figures, and other similar items. The long-established place for these transactions has been eBay, where the experience is primarily transactional and impersonal.

WhatNot innovated with a live stream-based approach. This allowed sellers not just to list their products but showcase them in a live environment, opening up packs of cards in real-time, for example. This resulted in a significantly more engaging and interactive shopping experience that eBay could not offer. This 'show and tell' model also builds higher trust between the buyers and

sellers, on top of WhatNot's practice of verifying every item sold on the platform.

As WhatNot grew its revenues over 20 times year-over-year, its latest funding round of \$260M in July 2022 valued the shopping platform at \$3.7B.

WhatNot created a unique, social shopping experience rich with discovery by combining entertainment and connection with its live video format.





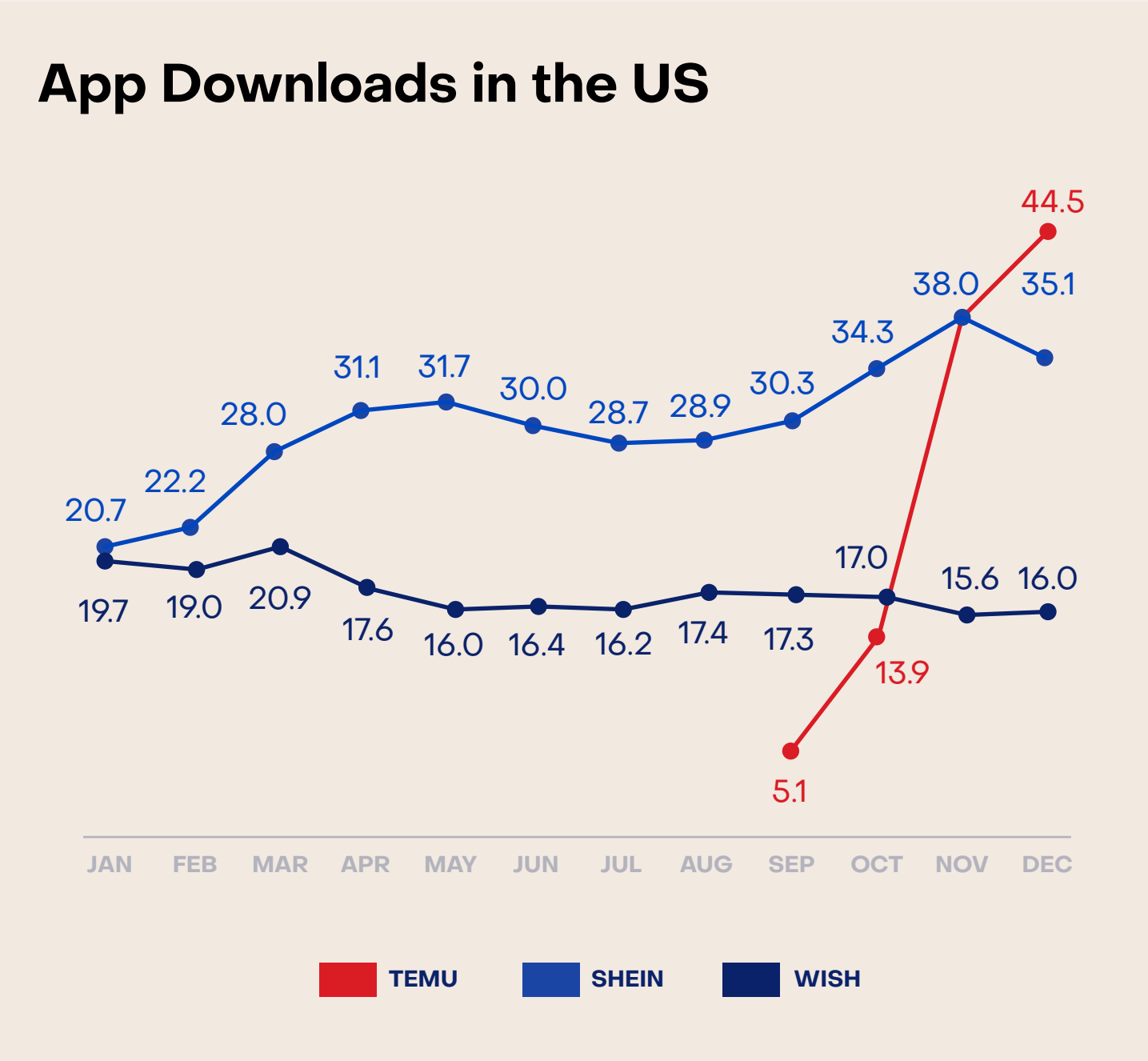
TEMU: Hyper-personalization around existing supply

Temu, owned by Chinese e-commerce giant Pinduoduo, is another rapidly growing marketplace in the US that packaged existing supply with a better experience. Its products – ranging from clothing and electronics to home goods and art – carry shockingly low prices but were already available on websites like AliExpress.

Temu instead focused on building a hyper-personalized platform that promotes the most relevant products possible and initiates greater trust when shopping for them, allowing it to quickly become one of the most downloaded apps in the US.

Temu's complex and advanced algorithm considers a multitude of factors to curate a personalized product feed for each user, ensuring the most appealing product recommendations.

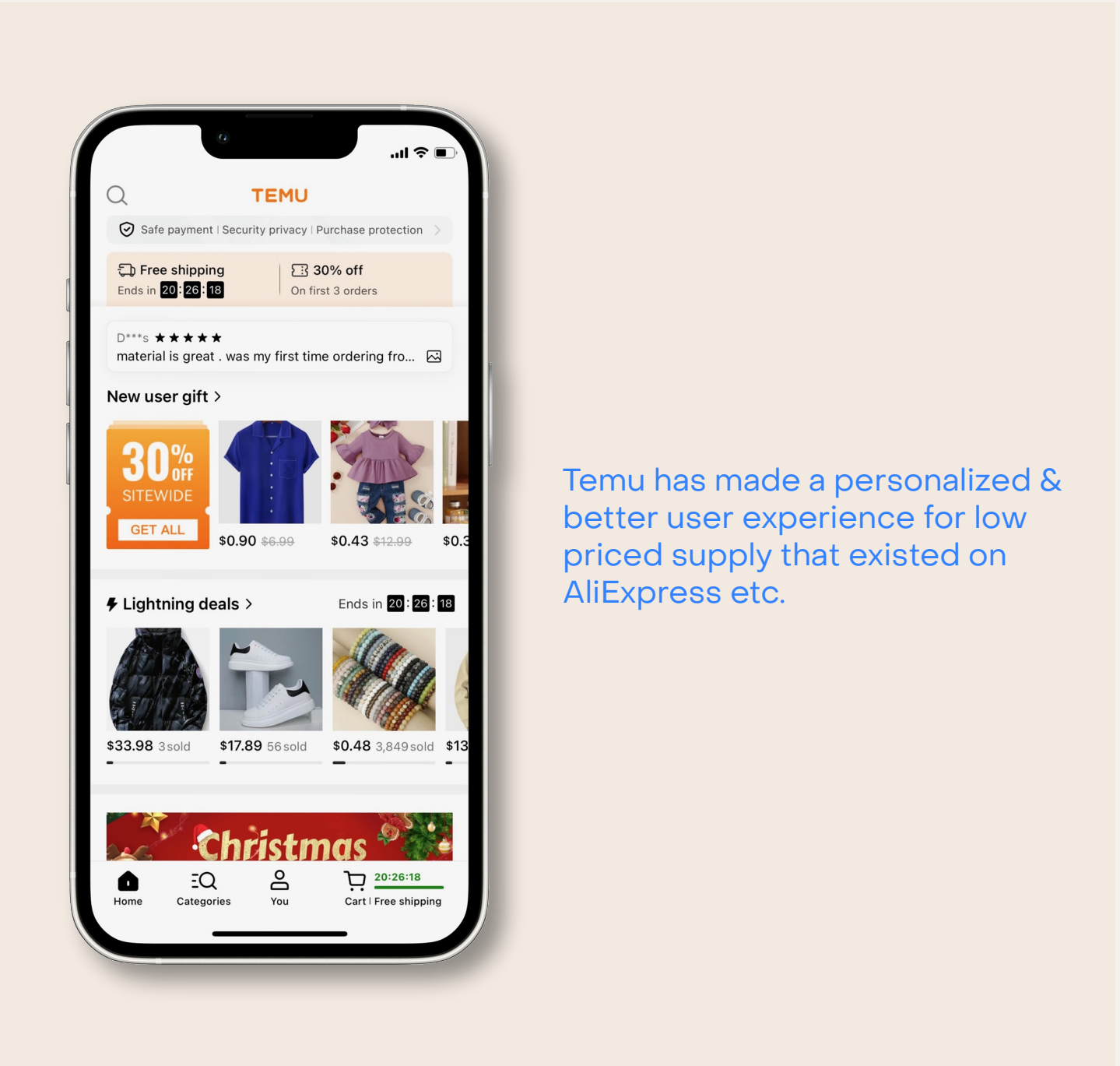
Experience, however, is not limited to a better app or



Source: Comscore Media Metrix Multi Platform, Dec 2, 2022

website experience but can mean other improvements. A different take on experience is the rise of Quick Commerce, which has taken the marketplace by storm in

the last two years. Built on a promise of delivery within 10–15 minutes, quick commerce drastically alters the grocery shopping experience and promotes a buying behavior that just didn't exist before.



INNOVATIVE GTM: FINDING A UNIQUE COST-EFFICIENT MARKETING AND DISTRIBUTION CHANNEL

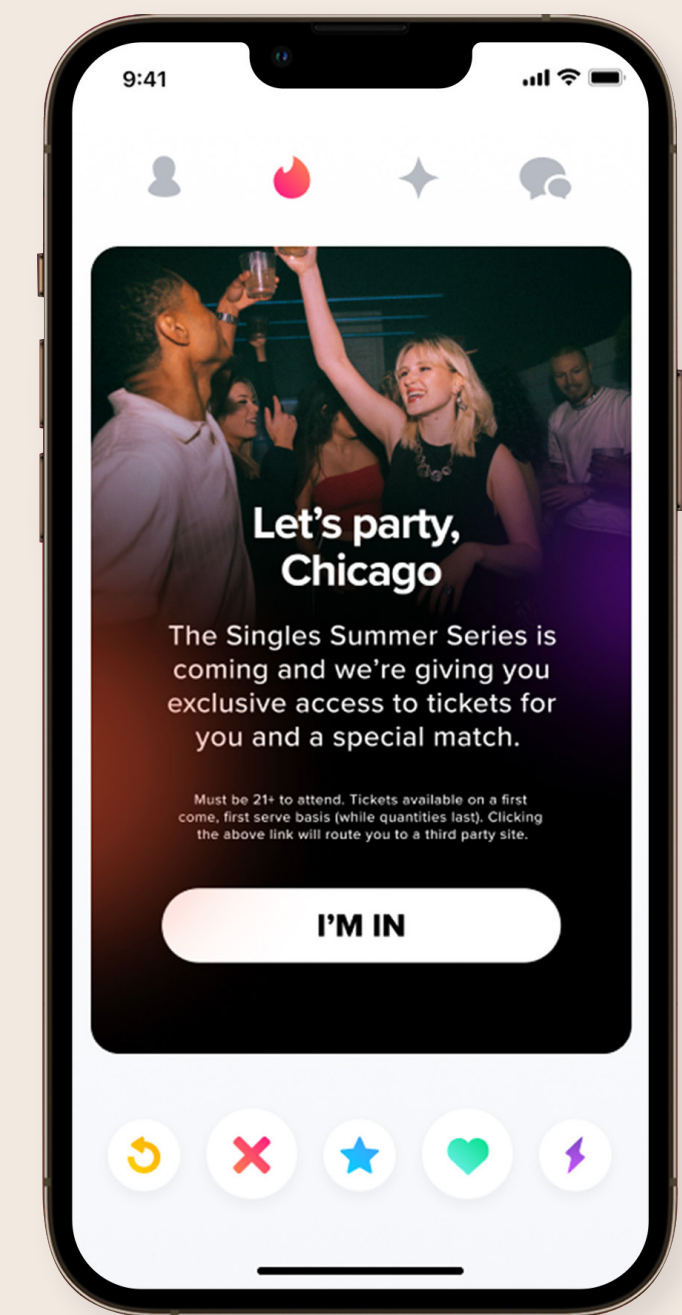


Innovation is critical not just to the product or service a marketplace offers but also to the strategy it uses to market itself and acquire users. The fourth and final axis of our framework revolves around innovating with your Go-To-Market approach and acquiring users through unique and previously untested channels.

Tinder: Dorm parties as a way to build user base

An atypical and ingenious example of the fourth axis is that of Tinder – which leveraged the power of college communities for early growth through dorm parties in 2012. At its inception, the dating app wasn't known to many, and to reach its core audience of college students, Tinder held exclusive dorm parties which carried little to no marketing expenses. Some of Tinder's developers were part of the fraternity and sorority system at the University of Southern California. The Tinder team offered to host parties for sororities under the condition that everyone attending had to download the Tinder app and show it at the door to gain entrance.

This created a sense of exclusivity and excitement around the app and helped drive downloads. The offline dorm party GTM strategy was a massive success for Tinder. The pattern was repeated on other campuses throughout that fall. The app quickly became popular on college campuses, and it soon spread to other demographics.



Tinder initially worked with an offline GTM: enlisting reps to host parties accessible only to those with the app



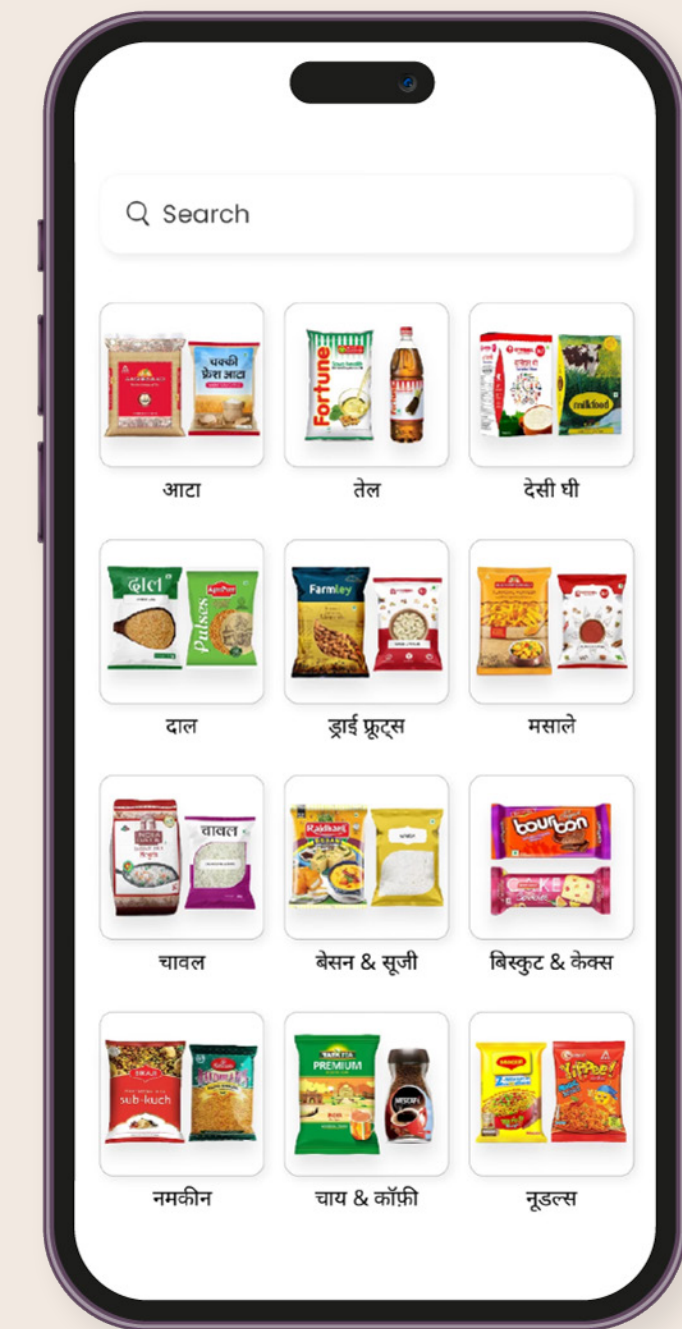
Citymall: Enabling commerce through community leaders

Within our portfolio, Citymall has been successful in bringing online grocery to Tier 3/4 towns in India through a unique GTM strategy. Instead of relying solely on advertising, they identified Community Leaders in every local area to take ownership of ordering on behalf of others and facilitate the delivery and customer experience. These local leaders, known for their social influence within their communities, serve as the intermediary between Citymall and the customers. Citymall empowers these CLs through required support and backend infrastructure, creating earning opportunities for 1000s of micro-entrepreneurs.

Citymall sources products from both local and prominent brands, which the CLs then market and deliver within their communities. This approach not only positions these leaders as resellers of Citymall's products but also allows

them to enhance their household income significantly as Community Leaders earn a commission from the sales.

Read more about why we partnered with Citymall [here](#).⁴



Citymall is bringing online grocery to Bharat, by instilling trust and reducing cost to serve via CLs

UP-AND-COMING THEMES



While we spoke about examples that have been built in the last decade or so around the framework, below we illustrate some interesting up-and-coming themes and how they hold up.

After delving into these compelling cases, the influence of these four pillars in facilitating remarkable successes for marketplace businesses is evident. Often, you'll notice the interplay of these axes, born from the founders' profound understanding of their target audience's needs and pain points. The synergy of these elements can lead to extraordinary outcomes, and this may be even more critical as incumbent marketplaces naturally already have a hold in most known spaces.

The idea behind the framework is to help give marketplace builders a guiding thought process and is open to evolution. We're keen to hear feedback and thoughts from marketplace builders and operators. If you are building in this space, feel free to engage with our Consumer Tech team. Please reach out to anand@elevationcapital.com and manish@elevationcapital.com to share your ideas and insights.

To recap our marketplace framework:

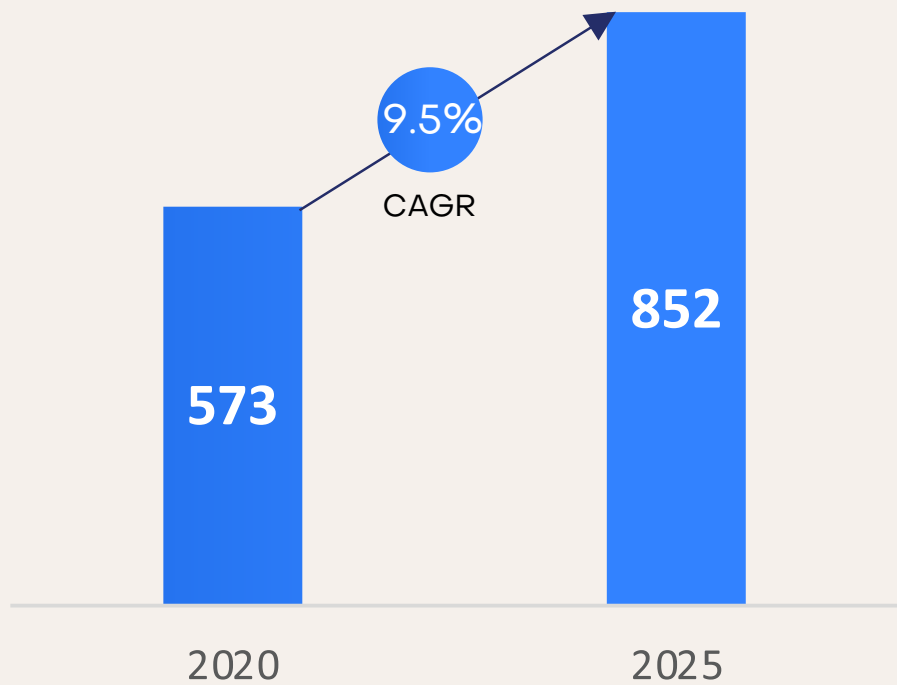
How existing themes fall into place

	 Unique Supply	 Better Experience	 New Target Audience	 Innovative GTM
'Whole Foods' for India	✓	✓	✓	
Creator-led Commerce			✓	✓
iBuying: "Spinny" for Homes	✓	✓		
New vertical marketplaces	✓	✓		

WHOLE FOODS FOR INDIA

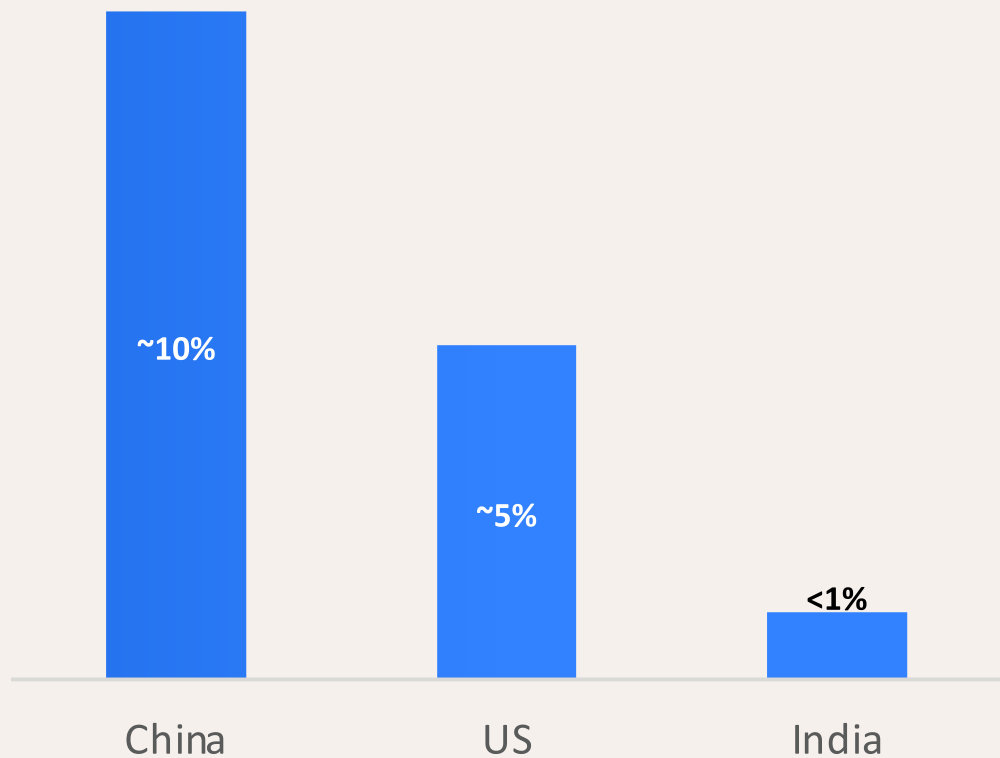


1 Grocery market is one of the largest markets – ~30% of India’s consumption expenditure



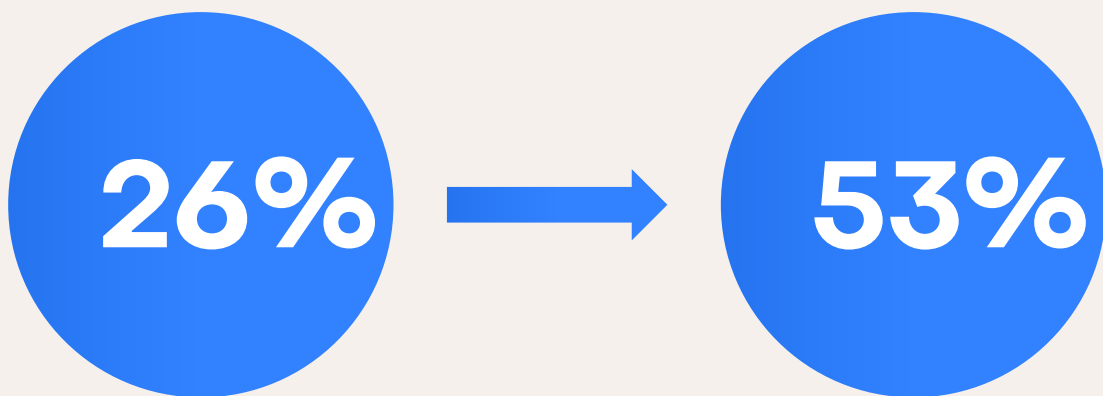
Size of Grocery Market in India (US\$ B)

2 Grocery has been among the most unorganized sectors – 4% Offline and < 1% Online



Penetration of Ecommerce in Grocery

3 Quality food becomes a ‘Necessity’ as Affluent households grow



% Affluent Households in 2021 vs 2031

Good for You Grocery would emerge a leading theme in the space – capturing value from high income consumer groups in the country

Value Propositions

Standardization

Quality Control

Assurance

Global Parallels



Annual Revenue: \$16B
Number of Stores: 533
Acquired: \$13.7B by Amazon in 2017

Indian Landscape



CREATOR-LED COMMERCE



1 Explosion in the number of creators with the proliferation of social media platforms

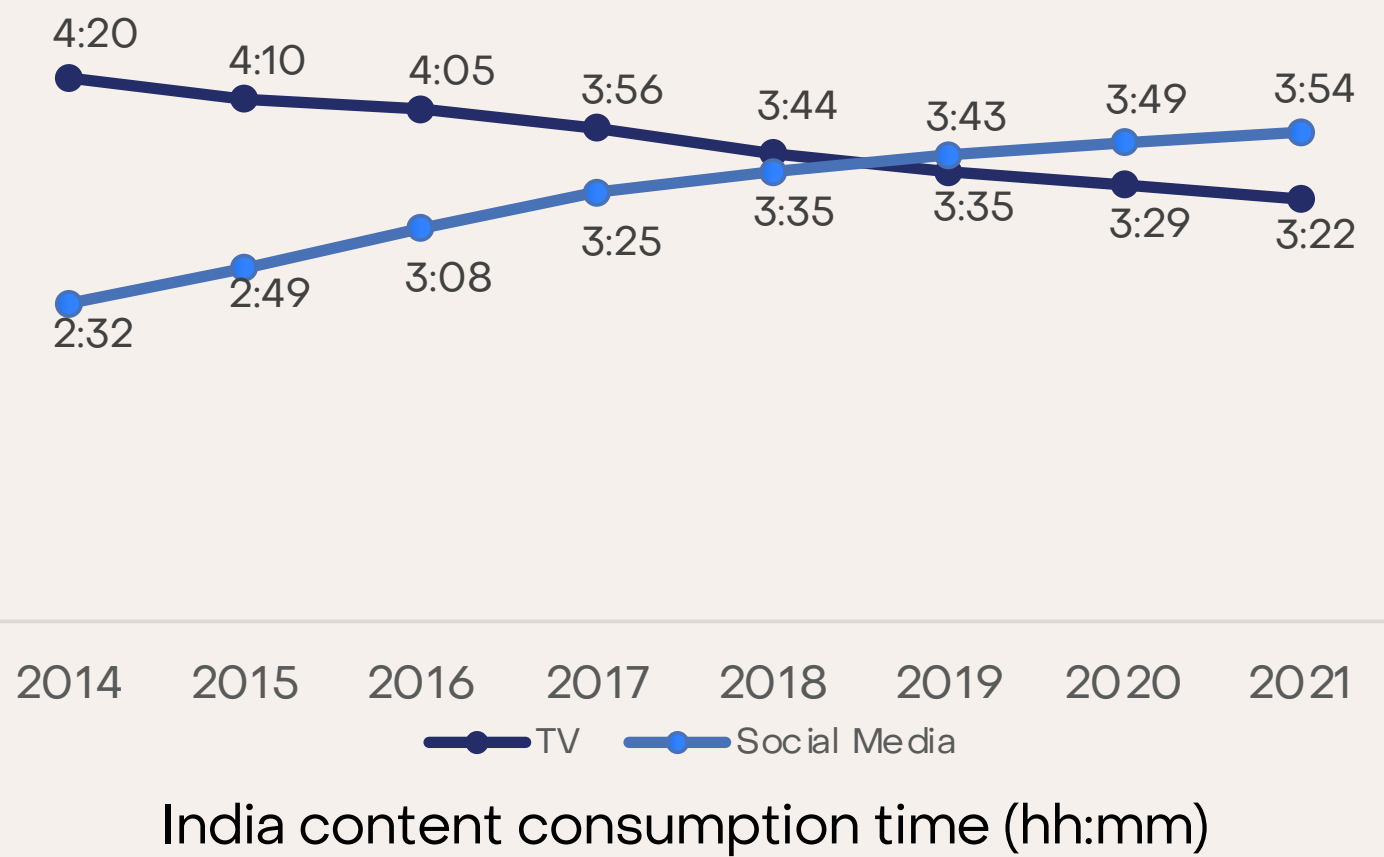


CAGR of YT + IG creators >10K followers since 2015

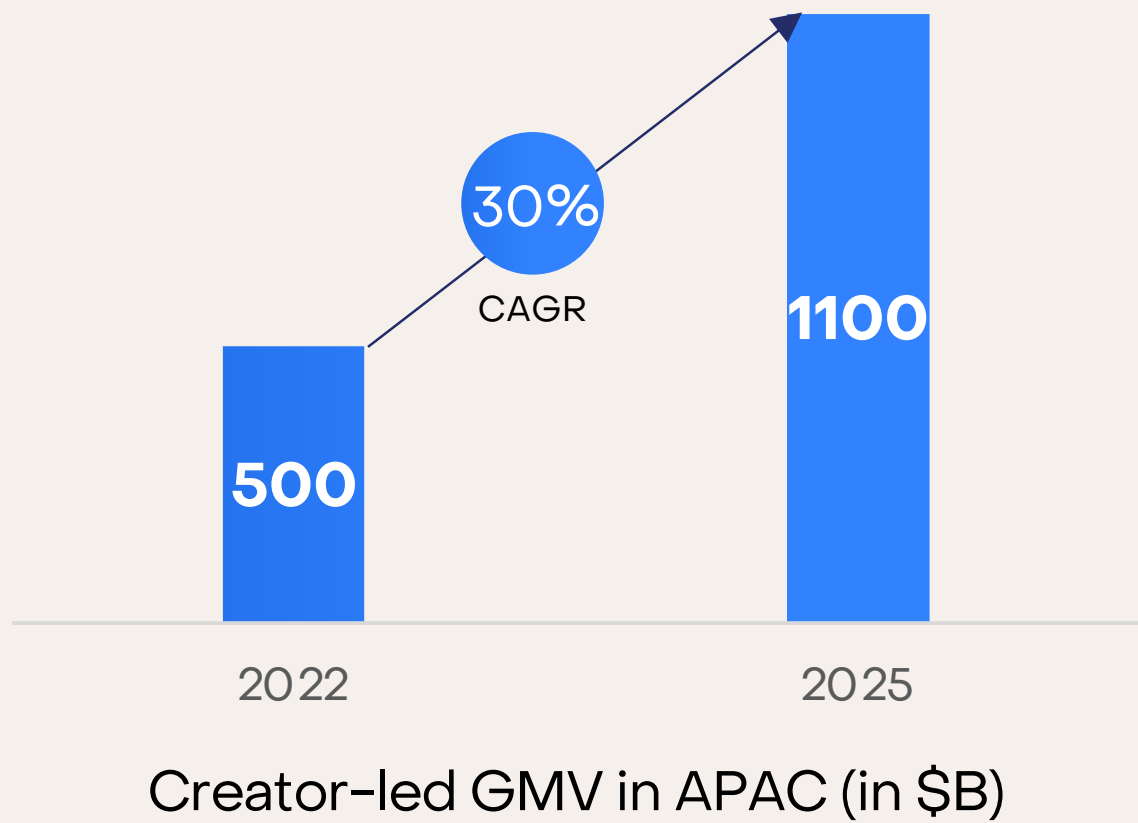


India's social media activity

2 Social media surpasses TV consumption timings for India



3 Creator-led commerce contributes to 20% of the overall Ecommerce transactions in APAC region



Creator-led Commerce would be a pivotal theme in Indian commerce landscape and a pervasive theme across various categories of commerce

Emerging Themes in Creator-led Commerce



Share of revenue in Creator-led Commerce

Discovery-led Marketplaces

wishlink

Linktree*



koji

iBUYING: “SPINNY” FOR HOMES



- 1

Secondary sales of homes constitute 66% of the sales and has outgrown primary sales
- 2

Highly unorganized market with information asymmetry
- 3

Problems pervasive for both homeowners and buyers in the transaction

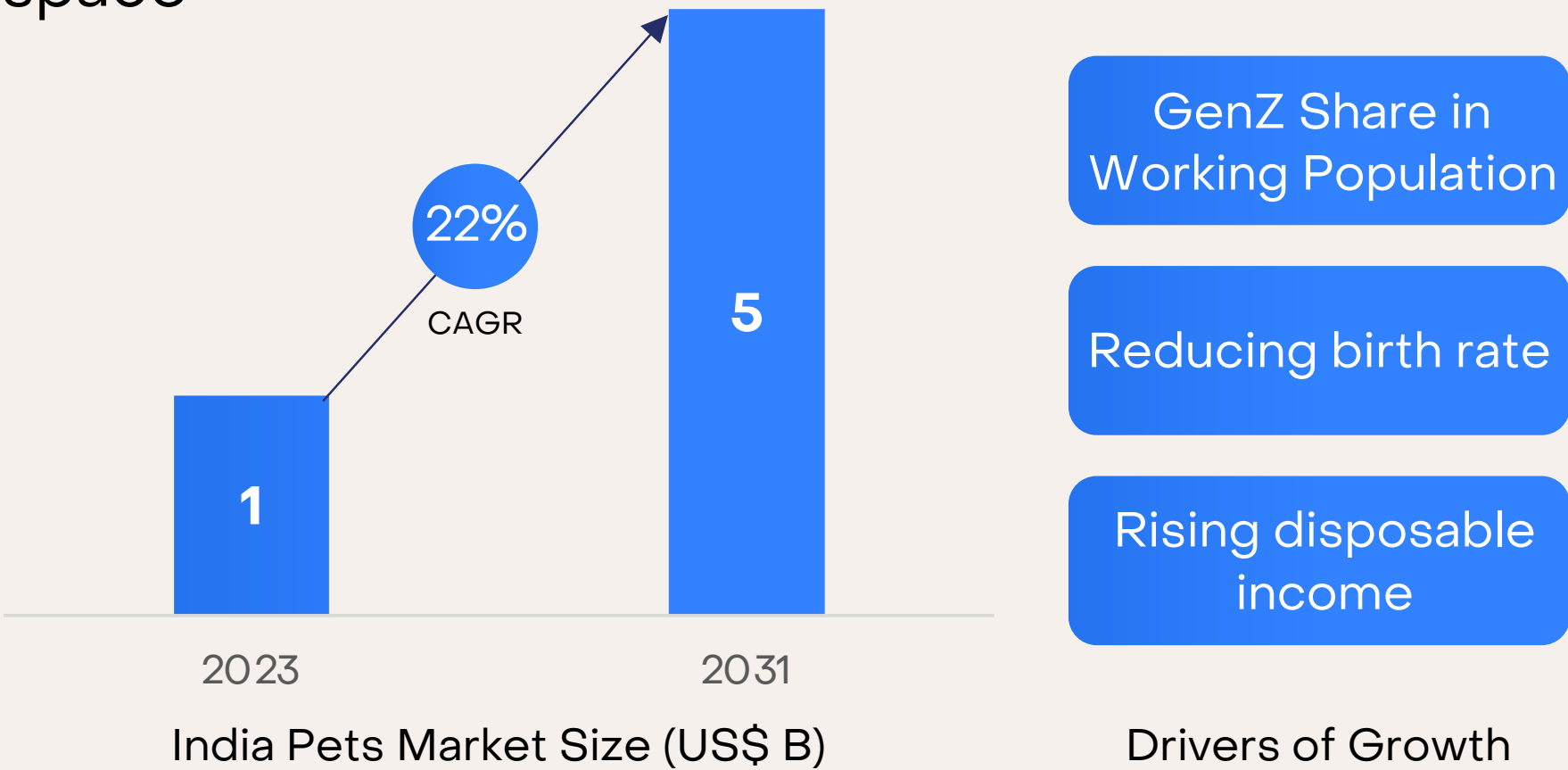


NEW VERTICAL MARKETPLACES



Pets and their World

India is the fastest growing geography in the world in Pets space

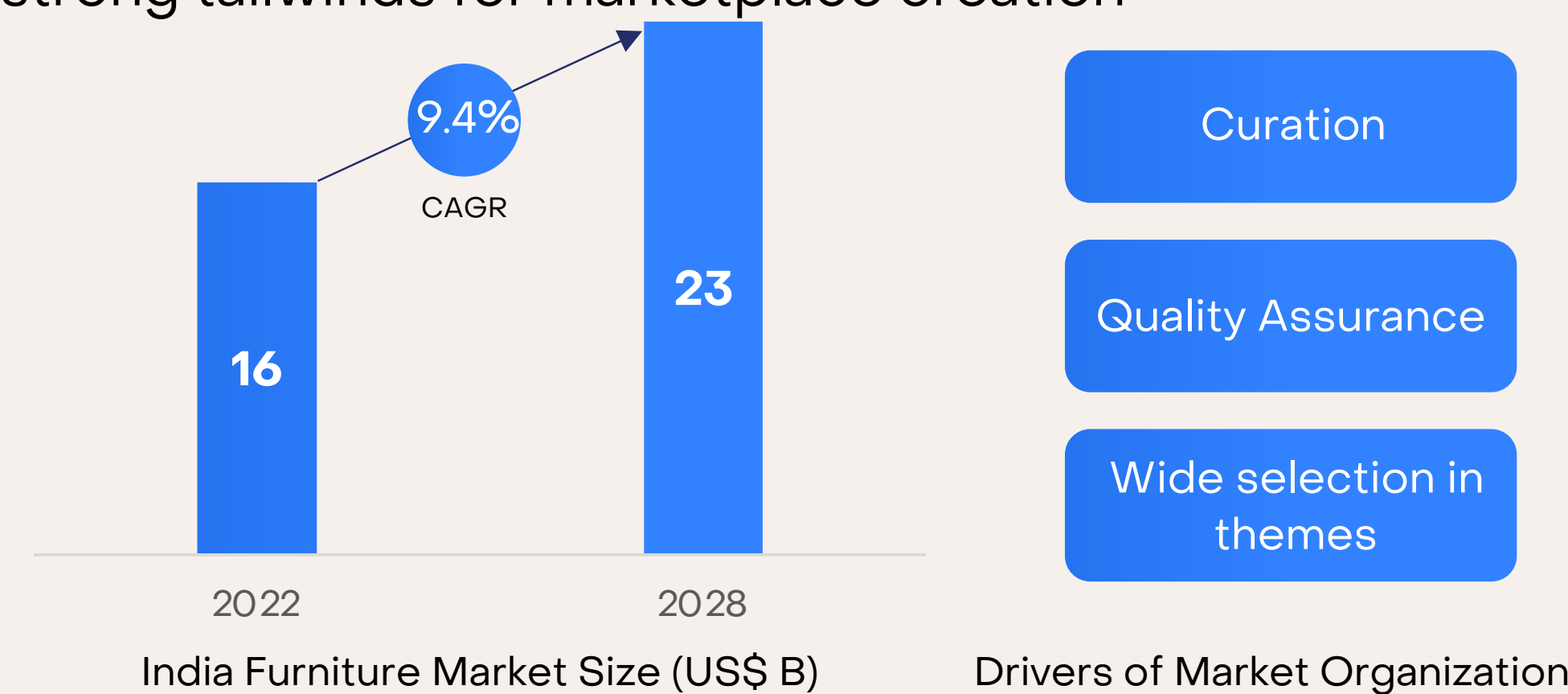


US has seen a similar trajectory in the last decade and is the largest market for pets



Home Furniture

India's home furniture market is 60% unorganized with strong tailwinds for marketplace creation



Over 40% online sales in US and Europe is driven by vertical marketplaces



APPENDIX



1. <https://retail.economictimes.indiatimes.com/blog/the-consumption-kaleidoscope-whats-driving-the-rise-in-indias-retail-sector/98598885>
2. <https://hbr.org/2014/10/at-amazon-its-all-about-cash-flow>
3. <https://elevationcapital.com/stories/urban-company-story>
4. <https://elevationcapital.com/summit/memos/investing-in-citymall>



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